US Treasury’s toolkit to try to lower yields

送信者: EG Geoeconomics 受信日時: 2026-09-08 23:27

【メール原文】

Bessent is already narrowing his ambitions. Bessent’s message has shifted over the course of ten days. On 20 August, Bessent declared that yields "don||||||||||||||

Global Macro
Customize Email Preferences

Overview of US Treasury’s toolkit to try to lower yields

8 Sep 2026 10:22 EDT Discover more on the Portal
Short-term trajectory:
Long-term trajectory:

*
Treasury Secretary Scott Bessent will likely change course on his attempt to lower long-term US yields as the limits of his toolkit's effectiveness become apparent.
*
Bessent can still lean on the tools Treasury fully controls—including shifting more issuance toward short-term debt, buying back more long bonds, and intervening again in currency markets—but they are unlikely to significantly lower long-term yields.
*
The administration would gain little from escalating to financial repression, pressure on the Federal Reserve, or coercion of foreign holders, as these measures are unlikely to work and could ultimately raise the premium investors demand to hold Treasuries.

Bessent is already narrowing his ambitions. Bessent’s message has shifted over the course of ten days. On 20 August, Bessent declared that yields "don't reflect the underlying fundamentals." On 31 August, he conceded that the Treasury "cannot change the market's equilibrium price" and described his job as "to speed things down"—a sign he is leaning toward backing down rather than escalating. The shift followed a sharp increase in US yields after Fed Chair Kevin Warsh's hawkish Jackson Hole speech and a global bond selloff that pushed the 10-year yield back above its pre-buyback high of 4.75% on 31 August. Moves toward 2023 highs near 5% will increase bond markets’ focus on whether Treasury chooses to back down or escalate—potentially through larger buybacks or cuts to long-bond auctions. Beyond this fall, the US fiscal path will remain unsustainable, but the market pressure that would force Washington into fiscal consolidation could still be years away.

The turmoil in bond markets adds to the pressure the administration is feeling over economic issues. Addressing affordability concerns and rising debt costs falls to the Treasury, given the limited scope for the administration to act through Congress. The measures taken so far commit little money and are unlikely to have a lasting effect on the market's equilibrium (see: US lacks political space to follow through on commitment to low rates , 18 August 2026). Treasury still has a wide range of plausible options, and it could reach for norm-breaking measures to attempt to limit the rise in yields.

The toolkit sorts into three broad categories: low-impact measures, measures that could work but face political obstacles, and counterproductive measures. The measures in use or announced—larger buybacks, maturity shifts, currency interventions—will have a limited impact. Measures that would likely be more effective face clear political constraints. Fiscal consolidation, which could lower long-term yields by roughly 15–30 basis points (bp) for each 1% of GDP of deficit reduction (Laubach 2009 ; Dallas Fed 2025), has no support in Congress. The White House also continues to support trade and Iran policies that add to inflation pressure. And Fed support is unlikely short of a crisis. A third set of options—draining Treasury's cash account, forcing the Fed into rate cuts, or coercing foreign holders—would more likely raise the premium investors demand, distort markets, and damage credibility. The table below provides more detail on measures within these three broad categories.

Pietro Guglielmi
Senior Analyst, Geoeconomics
+44 207 375 6937
guglielmi@eurasiagroup.net
Neil Weller
Director, Fixed Income Strategist
weller@eurasiagroup.net
Robert Kahn
Managing Director, Global Macro
+1 202.903.0011
kahn@eurasiagroup.net
Noah Daponte-Smith
Senior Analyst, United States
daponte-smith@eurasiagroup.net
Jens Larsen
Practice Head, Geoeconomics
+44-207-375-6924
larsen@eurasiagroup.net
Jon Lieber
Head of Research and Managing Director, United States
+1 202.552.5397
lieber@eurasiagroup.net
EG Geoeconomics
geoeconomics@eurasiagroup.net